

ALABAMA DEPARTMENT OF REVENUE INDIVIDUAL AND CORPORATE TAX
DIVISION
ADMINISTRATIVE CODE

CHAPTER 810-3-6
GAIN OR LOSS - BASIS OF PROPERTY; ADJUSTED BASIS

810-3-6-.02 Basis For Computing Gain Or Loss - Exceptions.

(1) The basis of property shall be the cost of the property with the following exceptions:

(a) Inventory - If the property should have been included in the last inventory, the basis shall be the amount used in the last inventory.

(b) Gifts or Transfer in Trust - See Rule 810-3-6-.04.

(c) Property Transmitted at Death - See Rule 810-3-6-.05.

(d) Property Acquired Upon Like-Kind Exchange - See Rule 810-3-6-.06.

(e) Transfers to a Corporation - See Rule 810-3-6-.07.

(f) Property Acquired on Liquidation of a Subsidiary - See Rule 810-3-6-.08.

(g) Basis of Property of Subsidiary After Acquisition - See Rule 810-3-6-.09.

(h) Basis of Property Received in Liquidation in which a Gain or Loss was Recognized - See Rule 810-3-6-.10.

(i) Basis of Stock after a Stock Dividend - See Rule 810-3-6-.11.

(j) Involuntary Conversion - See Rule 810-3-6-.12.

(k) Property Acquired Before January 1, 1933 - See Rule 810-3-6-.13.

(l) Property Acquired from a Spouse or Former Spouse - See Rule 810-3-6-.14.

(m) Basis of Replacement Property in Sale of Stock to ESOP or Cooperative - See Rule 810-3-6-.15.

(n) Basis of Property to Subchapter K Entity - See Rule 810-3-6-.03.

(o) Basis of Interest in a Subchapter K Entity - See Rule 810-3-6-.03.

(p) Basis of Property Distributed by a Subchapter K Entity - See Rule 810-3-6-.03.

(q) Basis of Property - Individuals Establishing Alabama Domicile - See Rule 810-3-6-.16.

(r) Allocation of Basis - See Rule 810-3-6-.17.

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Statutory Authority: Code of Ala. 1975, §§40-2A-7(a)(5), 40-18-6.

History: Amended: June 17, 1988; filed July 27, 1988. **Amended:** Filed September 18, 1996; effective October 23, 1996. **Repealed and**

New Rule: Filed April 28, 1999; effective June 2, 1999.